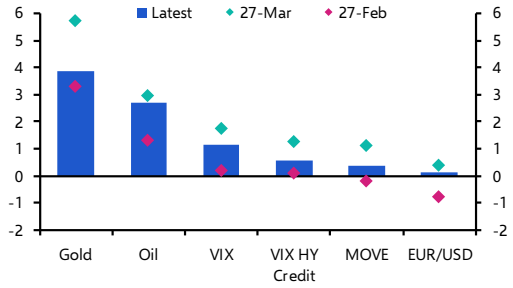
Treasuries offering little protection against stocks

Yet another volatile 24hours in financial markets saw Treasuries offer little protection against falls in US equities, as has been the case throughout the war. We doubt it will suddenly become a more effective hedge against such moves any time soon.

Having rallied yesterday, the S&P 500 fell over 1% in premarket trading before quickly recouping that ground at the open. This whipsawing price action comes as investors try to make sense of mixed messaging from officials in the US and elsewhere.

Perceived uncertainty also remains high. Despite having fallen back over the past week or so, measures of option-implied volatility generally remain well above their pre-war level and their average of the past decade. (See Chart 1.) Similarly, recent options data shows net put and net call positions on the S&P 500 Index both climbing to multi-year extremes, indicative of investors clamouring to hedge upside and downside tailrisks.

Chart 1: 1-Month Option Implied Volatility (Standard Deviations From 10-Year Average)



Sources: LSEG, Capital Economics.

Against this backdrop, Treasuries offered relatively little protection against this (short-lived) sell-off in equities, with Treasuries generally moving in tandem with equity prices. (See Chart 2.) That has generally been true throughout the conflict and stands in stark in contrast to the negative relationship between the returns of stocks and bonds in the months prior to the war. (See Chart 3.)

In short, Treasuries are a good hedge against stocks when demand is in the driving seat; but when inflation concerns dominate, that hedging value is lost. The fact that foreign central banks appear to have run down their holdings to the lowest level since 2012 in March, in part to defend currencies, has also weighed on Treasuries. And this comes amid a general worsening in the supply/demand dynamics of sovereign bonds.

Chart 2: 2-Year Treasury Yield & S&P 500

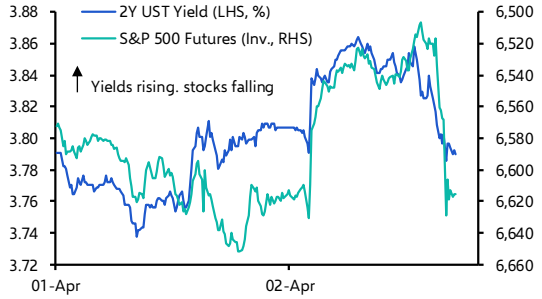
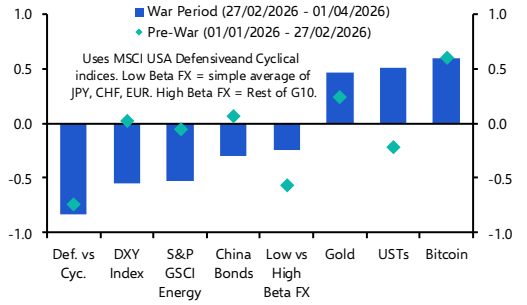


Chart 2: Correlation Between Daily Changes In S&P 500 & Selected Markets



Sources: LSEG, Capital Economics.

Other traditional hedges have also disappointed. Gold had already been increasingly acting as a risky asset and that positive correlation with US equities has only increased during the war. (See Chart 3 again.) Underscoring this point, replicating Chart 2 with the gold price would show it tracking US equities closely once again over this latest period. A basket of "low beta" G10 currencies against a basket of "high beta" peers has also provided little hedge during the war, despite previously displaying a strong negative correlation with US equity prices.

That said there have been some good hedges. Energy has unsurprisingly offered an effective counter to US equities, while defensive stocks have lived up to their name relative to cyclical peers. The US dollar, which enjoys a time-varying relationship with US equities, has benefited from the favourable shift in terms of trade and safe-haven demand on days where stocks have faltered. Our sense is that these patterns generally make sense and would continue in our "adverse" scenario, which sees the conflict rumble on for a few more months. That said, we think energy equities – which have fared well so far – present negative asymmetry, with little scope to outperform in an adverse scenario and plenty of room to drop in a more positive scenario.

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Key Insights From CE

- This *Bonds Focus* outlines how debt managers might respond the potential for the Iran war to add further strain to public finances and the already deteriorating supply/demand dynamics in long-dated sovereign debt, as well as what this all means for yields.
- Hawkish signals from the Bank of Japan and resilient Q1 data have increased our conviction that the Bank will hike interest rates this month – markets currently have a 2/3 chance priced in. Read more here.
- We think that interest rate cuts this year are now off the table, but that only the adverse conflict scenario would see broad-based rate hikes across major central banks. Read more in the Iran Conflict Edition of our *Global Economics Chart Pack*.

Economic Data & Events

Date	Country	Release/Indicator/Event	BST	Previous*	Median*	CE Forecast*
Fri 3rd	US	Change in Nonfarm Payrolls (Mar.)	13.30	-92,000	+51,000	+125,000
	US	ISM Services Index (Mar.)	15.00	56.1	55.0	54.0
Tue 7th	EZ	S&P Global Composite PMI (Mar., Final)	09.00	50.5p	50.5	50.5
	UK	S&P Global Composite PMI (Mar., Final)	09.30	51.0p	50.5	51.0
Wed 8th	Jpn	Current Account (Feb.)	00.50	+¥941.6bn	-	+¥2560bn
	NZ	RBNZ Policy Announcement	03.00	2.25%	2.25%	2.25%
	Ind	RBI Repo Rate	05.30	5.25%	5.25%	5.25%
Thu 9th	Ger	Industrial Production (Feb.)	07.00	-0.5%(-1.2%)	+0.3%	+0.5%(+0.5%)
	US	PCE Deflator (Feb.)	12.30	+0.4%(+3.1%)	+0.4%	+0.4%(+2.8%)
	Pol	Interest Rate Announcement	-	3.75%	3.75%	3.75%
Fri 10th	Per	Interest Rate Announcement	00.00	4.25%	-	4.25%
	Chn	Consumer Prices (Mar.)	02.30	(+1.3%)	(+1.2%)	(+1.0%)
	US	Consumer Prices (Mar.)	08.30	+0.3%(+2.4%)	-	+0.8%(+3.3%)

*m/m(y/y) unless otherwise stated; p = provisional

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